

FIERY POTENTIAL: Gas being flared at RIL's KG-6 field off Andhra Pradesh

THE CHALLENGES

To sustain growth at 8 per cent for the next 25 years, India has to ramp up energy supply by four times.

By 2031-32, India must hike power generation from current 1,60,000 MW to 8,00,000 MW.

No major oil discovery has been made in 29 years since Bombay High, and oil production is stagnant.

Even with a 20-fold increase in nuclear power, it will contribute only 4-4.6 per cent of need in 2031-32.

Thanks to nationalisation, despite proven reserves of 95 billion tonne, annual output of coal is only 361 mt.

As crude prices touch \$70, India has to import 72 per cent of its 115 mt of petroleum consumption.

Gas availability will treble in the next five years but there is no pricing policy in place.

Rising incomes will trigger the prosperity factor and push demand for oil, gas and electricity further.

since 2000.

The Electricity Act of 2003 promised that private producers including those with captive power plants could wheel their power on the national grid and sell it directly to big-tag consumers. This would have earned state electricity boards (SEBs) some revenue through wheeling charges, enabled supply of power to starved units and created a mechanism for private producers to set up capacity and sell directly to bulk consumers. The SEBs justifiably worry that if this happened, the cream of their clientele would migrate to better suppliers triggering a collapse of the boards. This politically-sensitive issue has hampered better utilisation of capacity and creation of new capacities. The trick is in pricing the wheeling charges but successive regimes have failed to negotiate this.

Indeed, the political calculus that holds up pricing of gas symbolises the rot in the system. India has been lucky to locate gas on the east coast in the Krishna Godavari basin triggering hopes of further finds. The new finds by Reliance Industries (RIL), ONGC-GSPC and others are expected to treble gas availability from 91 mmscd to 279 mmscd by 2012. The increase is equivalent to nearly a fifth of the current crude consumption and enough to fuel a 50,000 MW capacity power plant. Although the first big find by RIL was in 2002, till date there is no clarity on who this gas can be sold to and at what price. A Gas Linkage Committee, which was assigned the responsibility of assigning gas among various sectors in July 1991, was disbanded on November 9, 2005 apparently because new gas was to be supplied to consumers on purely commercial basis.

But that is not how it pans out. RIL has stated that it has done price discovery and the gas would be sold at \$4.79 per mmbtu but consumers like Reliance Energy dispute this pricing and cite an earlier price discovery of \$2.74 per mmbtu. The matter is now in

start with there is no one estimate of energy need. The IEP document cites 11 different scenarios of demand. As Manmohan recently said the "business as usual approach will not work".

The Indian energy landscape is littered with a plethora of problems, natural and man-made. Geological resource crunch is worsened by somnolent policy. It is crippled by controls ranging from who will produce what, how much and where to what price it can be sold. Power, whether it is produced at 50 paise per unit at Bhakra or

Rs 5.10 at Dabhol, is sold at an administered price and supplied according to the political diktat of the day. India is blessed with indicated coal reserves of a whopping 252 billion tonne and proven reserves of 95 billion tonne. It offers the cheapest option for generation of electricity, yet annual production is only 361 mt. Thanks to militant unionism, the scope for injecting technology or private investment is stifled. A Coal Mines (Nationalisation) Amendment Bill, which would enable entry of private players, is pending

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